

Model Questions

Senior 1 Accounting. Chapters 8, 10, 11, 12 and the financial statements.

Answers with full workings are in `Answer_Key.md`. Try every question before you look.

Marks are shown in brackets. Use \$ for all amounts.

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Section A: Multiple choice (1 mark each)

8.1 Which double entry writes off an irrecoverable debt?

- A. Debit trade receivable, credit irrecoverable debts
- B. Debit irrecoverable debts, credit trade receivable
- C. Debit bank, credit irrecoverable debts
- D. Debit allowance for irrecoverable debts, credit bank

8.2 Which concept is the main reason for creating an allowance for irrecoverable debts?

- A. Going concern
- B. Prudence
- C. Consistency
- D. Business entity

8.3 Trade receivables are \$30,000. The allowance is to be 4%. The allowance brought forward is \$1,000. What is the effect on the Statement of Profit or Loss?

- A. Expense of \$1,200
- B. Expense of \$200
- C. Income of \$200
- D. Expense of \$1,000

8.4 A debt of \$400 written off last year is received in full this year. What is the effect on this year's profit?

- A. Decrease by \$400
- B. No effect
- C. Increase by \$400
- D. Increase by \$800

8.5 Where is the allowance for irrecoverable debts shown in the Statement of Financial Position?

- A. Under current liabilities
- B. Added to trade receivables
- C. Deducted from trade receivables under current assets
- D. Under non-current liabilities

Section B: Short answers

8.6 Explain two differences between an irrecoverable debt and an allowance for irrecoverable debts. (4)

8.7 On 1 March 2025, Tomas, a credit customer who owes \$750, is declared bankrupt. Prepare the journal entry, with a narrative, to write off the debt. (3)

Section C: Structured question

8.8 Grace keeps an allowance for irrecoverable debts of 3% of trade receivables. Her year end is 31 December. Trade receivables at each year end were:

Year	Trade receivables before write-offs \$	Debts to be written off \$
2023	40,000	0
2024	50,000	0
2025	36,000	1,000

There was no allowance before 2023.

- Calculate the allowance required at the end of each year. (3)
- State the amount charged or credited to the Statement of Profit or Loss each year, and whether it is an expense or income. (3)
- Prepare the Allowance for irrecoverable debts account for the three years. (6)
- Show the Statement of Financial Position extract for trade receivables at 31 December 2025. (2)

Self-marking version: [excel/Ch08_Irrecoverable_Debts.xlsx](#), Practice sheet.

Chapter 10: Tangible Non-current Assets and Depreciation

Section A: Multiple choice (1 mark each)

10.1 Which is capital expenditure?

- A. Fuel for a delivery van
- B. Buying a delivery van
- C. Repairing a delivery van
- D. Insuring a delivery van

10.2 A machine costs \$25,000. Its residual value is \$5,000 and its useful life is 5 years. What is the annual straight line depreciation?

- A. \$4,000
- B. \$5,000
- C. \$6,000
- D. \$20,000

10.3 Equipment costs \$50,000. It is depreciated at 20% per year, reducing balance. What is the depreciation charge in Year 2?

- A. \$10,000
- B. \$8,000
- C. \$6,400
- D. \$20,000

10.4 A vehicle cost \$15,000. Accumulated depreciation is \$9,000. It is sold for \$5,000. What is the result?

- A. Profit of \$1,000
- B. Loss of \$1,000
- C. Loss of \$10,000
- D. Profit of \$5,000

10.5 Which is **not** a cause of depreciation?

- A. Wear and tear
- B. Obsolescence
- C. A rise in the market price of the asset
- D. Passage of time

Section B: Short answers

10.6 Give two reasons why a business charges depreciation. Name the concept linked to each. (4)

10.7 Loose tools were valued at \$2,000 at the start of the year. Tools costing \$800 were bought during the year. At the year end the tools were valued at \$2,100. Calculate depreciation for the year. (2)

10.8 State which depreciation method suits a motor vehicle and explain why. (3)

Section C: Structured question

10.9 On 1 January 2023 Musa bought a machine for \$40,000. It is depreciated at 25% per year, reducing balance. The year end is 31 December.

a) Calculate the depreciation for 2023, 2024 and 2025. (3)

b) Show the NBV of the machine at 31 December 2025. (1)

c) On 1 January 2026 the machine was sold for \$15,000 by cheque. Prepare the Machinery disposal account. (5)

d) State where the result of the disposal appears in the financial statements. (1)

10.10 A machine is bought for \$12,000 on 1 April 2025. Depreciation is 10% per year on cost, straight line, calculated monthly. The year end is 31 December 2025. Calculate the depreciation for 2025. (2)

Self-marking version: [excel/Ch10_Depreciation.xlsx](#) , Practice sheet.

Chapter 11: Accruals and Prepayments

Section A: Multiple choice (1 mark each)

11.1 How is an accrued expense shown in the Statement of Financial Position?

- A. Current asset
- B. Current liability
- C. Non-current liability
- D. Deducted from capital

11.2 Rent paid during the year was \$5,200. At the year end \$400 was owing. What is the rent expense?

- A. \$4,800
- B. \$5,200
- C. \$5,600
- D. \$5,800

11.3 Insurance paid during the year was \$2,400. \$500 was prepaid at the start of the year and \$600 was prepaid at the end. What is the insurance expense?

- A. \$2,300
- B. \$2,500
- C. \$2,400
- D. \$3,500

11.4 Rent received in advance is shown as:

- A. A current asset
- B. Other income
- C. A current liability
- D. An expense

11.5 Accruals and prepayments are recorded because of which concept?

- A. Money measurement
- B. Business entity
- C. Accruals (matching)
- D. Historical cost

Section B: Short answers

11.6 Explain the effect on profit if a business forgets to record an accrued expense of \$600. (2)

11.7 A business pays \$4,800 on 1 October 2025 for 12 months of insurance. The year end is 31 December 2025. Calculate the insurance expense and the prepayment. (3)

Section C: Structured question

11.8 Zara's year ends 31 March 2026. The following information is available.

Item	Details
Wages	Owing at 1 April 2025: \$300. Paid during the year: \$18,000. Owing at 31 March 2026: \$450.
Rates	Prepaid at 1 April 2025: \$200. Paid during the year: \$1,600. Prepaid at 31 March 2026: \$250.
Commission receivable	Received during the year: \$3,000. Still due at 31 March 2026: \$250.

- a) Calculate the amount for the Statement of Profit or Loss for wages, rates and commission receivable. (3)
- b) Prepare the Wages account for the year, showing the balance carried down. (5)
- c) Calculate the total of other receivables and other payables in the Statement of Financial Position at 31 March 2026. (2)

Self-marking version: [excel/Ch11_Accruals_Prepayments.xlsx](#) , Practice sheet.

Chapter 12: Fundamental Accounting Principles and Concepts

Section A: Name the concept (1 mark each)

For each situation, name the concept which applies.

- 12.1** The owner's private car is not included in the business accounts.
- 12.2** Land is recorded at the price paid for it, not its current value.
- 12.3** The same depreciation method is used every year.
- 12.4** A \$5 calculator is recorded as an expense, not a non-current asset.
- 12.5** Revenue is recorded when goods are delivered, not when cash is received.
- 12.6** The skill of the staff is not recorded in the accounts.
- 12.7** Every transaction is recorded with a debit and a credit.
- 12.8** Assets are shown at cost less depreciation, not at closing-down sale prices.
- 12.9** Electricity used in December but paid in January is included in December's year.
- 12.10** An allowance for irrecoverable debts is created.

Self-marking version with drop-down lists: [excel/Ch12_Accounting_Concepts.xlsx](#) , Quiz sheet.

Section B: Short answers

- 12.11** Explain the prudence concept and give one example of its use. (3)

12.12 Explain the going concern concept. State how asset values would change if a business were **not** a going concern. (3)

12.13 Name and explain two qualities which make accounting information useful. (4)

12.14 Goods cost \$2,000. They are damaged. They can be sold for \$1,800 after repairs costing \$300. At what value should they be shown in inventory? Show your working and name the concept. (3)

Statement of Profit or Loss and Statement of Financial Position

Section A: Multiple choice (1 mark each)

FS.1 Where is carriage outwards shown?

- A. Cost of sales
- B. Expenses in the Statement of Profit or Loss
- C. Current liabilities
- D. Deducted from revenue

FS.2 Where are drawings shown?

- A. Expenses in the Statement of Profit or Loss
- B. Current liabilities
- C. Deducted from capital in the Statement of Financial Position
- D. Current assets

FS.3 Opening inventory \$5,000, purchases \$30,000, purchases returns \$1,000, carriage inwards \$500, closing inventory \$6,000. What is cost of sales?

- A. \$28,500
- B. \$29,500
- C. \$27,500
- D. \$30,500

FS.4 A bank overdraft is:

- A. A current asset
- B. A non-current liability
- C. A current liability
- D. Part of capital

FS.5 Current assets are \$18,000 and current liabilities are \$7,500. What is the working capital?

- A. \$25,500
- B. \$10,500
- C. \$7,500
- D. \$2.40

Section B: Structured question (30 marks)

FS.6 Ben's Bikes. Trial balance at 30 June 2026.

Account	Dr \$	Cr \$
Revenue		82,000
Purchases	45,000	
Sales returns	800	
Purchases returns		900
Carriage inwards	400	
Inventory at 1 July 2025	6,200	
Wages	12,600	
Electricity	2,300	
Insurance	1,600	
Advertising	1,200	
Irrecoverable debts	350	
Rent received		2,400
Motor vehicles at cost	24,000	
Provision for depreciation: motor vehicles		6,000
Fixtures at cost	8,000	
Provision for depreciation: fixtures		2,000
Trade receivables	9,000	
Allowance for irrecoverable debts		500
Trade payables		5,300
Bank	3,150	
Capital		23,000
Drawings	7,500	
Totals	122,100	122,100

Additional information at 30 June 2026:

1. Inventory was valued at \$7,100.
2. Electricity of \$250 was owing.
3. Insurance of \$400 was prepaid.
4. Rent received includes \$200 received in advance for July 2026.
5. The allowance for irrecoverable debts is to be 4% of trade receivables.
6. Motor vehicles are depreciated at 20% per year, reducing balance.
7. Fixtures are depreciated at 10% per year on cost, straight line.

a) Prepare the Statement of Profit or Loss for the year ended 30 June 2026. (16)

b) Prepare the Statement of Financial Position at 30 June 2026. (14)

